Type MS · Inflation and deflation: meaning, measurement and causes

Answer 1 of 10 · Question 4 part b · 6 marks

2023 JAN · Paper 02 · extract 1 of 5 · find part b in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing the calculation 2,769,491 x 100 **(1)** 51,011,033 = 5.43% **(1)** Award 2 marks if the unemployment rate is accurately calculated as 5.43% even if no calculations are shown Award 1 mark if correct answer 5.43 is shown, but with no % sign, with or without calculations Do not award marks for the formula	**(2)**

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 1 of 10 · Question 4 part b · 6 marks

2023 JAN · Paper 02 · extract 2 of 5 · find part b in this mark scheme extract

Question Number	Analyse the impact of increasing wages on inflation in Mexico. **Indicative content**	Mark
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • An increase in wages of 15% will add to the cost of production for many firms in Mexico that currently pay the minimum wage to their workers • This could result in higher prices for goods/services made within Mexico if the 15% increase in wages is passed onto consumers in the form of higher prices • This could result in cost push inflation for Mexico from the 15% increase in the minimum wage • Increasing wages could also increase domestic consumption for goods/services • Increasing the minimum wage for nearly 11 million workers will result in these workers having 15% more income • This could be spent within the Mexican economy resulting in demand pull inflation if supply cannot keep up with demand	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 1 of 10 · Question 4 part b · 6 marks

2023 JAN · Paper 02 · extract 3 of 5 · find part b in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, evaluate the effectiveness of monetary policy in increasing total output in a country such as Mexico. **Indicative content**	Mark
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Monetary policy is the use of interest rates and money supply to affect the level of economic activity • Expansionary monetary policy aims to boost economic growth by lowering interest rates • Mexico's central bank has lowered interest rates from a high of 8.25% in July 2019 to 4.25% in September 2020 • This makes borrowing more attractive to firms and households as a lower rate of interest is charged on loans • Firms and consumers with existing or new loans and mortgages will also see a drop in interest payments and therefore will have more disposable income to spend • This may increase the demand for goods and services within the Mexican economy, thus helping to increase economic growth which has fallen by 9.3% **AO4** • However, not all economic growth is dependent upon interest rates • Other factors such as business and consumer confidence play a large role in the demand for goods and services • Often there is a time lag for a reduction in interest rates to feed through into the economy in terms of increased demand • Lower interest rates may increase demand for goods and services but can result in inflationary pressures • Mexico has seen inflation rates of 3.3% which could have been caused by the lowering of interest rates since July 2019 • The effectiveness may depend upon a range of factors within the Mexican economy • There are other ways to stimulate economic growth including fiscal and supply-side policies • Mexico should use a combination of policies rather than just focus on monetary policy to increase total output.	**(12)**

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 1 of 10 · Question 4 part b · 6 marks

2023 JAN · Paper 02 · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 1 of 10 · Question 4 part b · 6 marks

2023 JAN · Paper 02 · extract 5 of 5 · find part b in this mark scheme extract

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Type MS · Inflation and deflation: meaning, measurement and causes

Answer 2 of 10 · Question 1 part a · 1 mark

2020 JAN · Paper 02 (regional R) · extract 1 of 6 · find part a in this mark scheme extract

1(a)	**AO1 1 marks** **B** Inflation rate	**(1)**

Question Number	**Answer**	Mark
1(b)	**AO1 1 mark** **C** privatisation	**(1)**

Question Number	**Answer**	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to economic cycle and 1 mark for reference to high levels of economic activity/employment A phase in the economic cycle **(1)** with the highest levels of economic activity/with the highest levels of employment **(1)**. Accept any other appropriate response.	**(2)**

Question Number	**Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to time and effort and 1 mark for reference to purchasing goods The costs to firms and consumers of searching for the lowest prices **(1)** when inflation is high/prices are rising rapidly **(1)**. Accept any other appropriate response.	**(2)**

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 2 of 10 · Question 1 part a · 1 mark

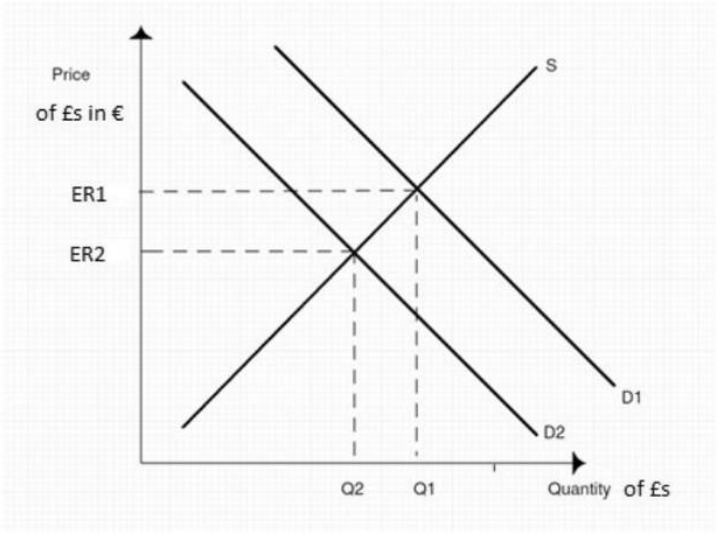
2020 JAN · Paper 02 (regional R) · extract 2 of 6 · find part a in this mark scheme extract

Question Number	**Answer**	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation. 150 000 x 70.66 INR **(1)** Award 1 mark for the correct answer. = 10 599 000 INR **(1)** Award 2 marks if the correct answer of 10 599 000 INR is shown, with Indian Rupee symbol, even if no calculations are shown. Award 1 mark if correct answer is shown, but with no Indian Rupee symbol, even if no calculations are shown. Do not award marks for the formula.	**(2)**

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 2 of 10 · Question 1 part a · 1 mark

2020 JAN · Paper 02 (regional R) · extract 3 of 6 · find part a in this mark scheme extract

Question Number	Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for leftward shift of demand, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 2 of 10 · Question 1 part a · 1 mark

2020 JAN · Paper 02 (regional R) · extract 4 of 6 · find part a in this mark scheme extract

Question Number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is to gain market share **(1).** Barley producers in China might be forced out of production **(1)** resulting in a higher market share for Australian barley producers **(1).** • One reason is to get rid of surplus goods **(1).** Australia may have produced too much barley in one year **(1).** Reducing the price may result in higher demand for Australian barley in China **(1).** Accept any other appropriate response.	**(3)**

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 2 of 10 · Question 1 part a · 1 mark

2020 JAN · Paper 02 (regional R) · extract 5 of 6 · find part a in this mark scheme extract

Question Number	Indicative content
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Direct taxes are government charges imposed on income and wealth • Lowering direct taxes such as income tax rates will result in employees keeping more take home pay • This increases disposable income from employment and gives an incentive to work rather than live on benefits • Increased income could be spent on more/better quality goods and services, thereby increasing standard of living in Vietnam • With greater disposable income being spent within the Vietnamese economy, output and employment may increase

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 2 of 10 · Question 1 part a · 1 mark

2020 JAN · Paper 02 (regional R) · extract 6 of 6 · find part a in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 3 of 10 · Question 3 part a · 1 mark

2020 NOV · Paper 02 (regional R) · extract 1 of 5 · find part a in this mark scheme extract

3(a)	**AO1 1 mark** C wage rates	**(1)**

Question Number	**Answer**	Mark
3(b)	**AO1 1 mark** B Interest rates	**(1)**

Question Number	**Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a relevant way Award 1 mark for developing the way Award 1 mark for the response being in context • One way is that there is greater consumer choice **(1).** US consumers are now able to buy imported avocados throughout the year from Mexico **(1)** and do not have to rely on production from the US **(1)** • One way is that there is more access to a wider range of products **(1).** Some food products such as avocados may not be available in other countries **(1).** Globalisation has thereby enabled a more varied diet for many consumers in the US **(1)** Accept any other appropriate response	**(3)**

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 3 of 10 · Question 3 part a · 1 mark

2020 NOV · Paper 02 (regional R) · extract 2 of 5 · find part a in this mark scheme extract

Question Number	Indicative content	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Mondelez has been exporting its products to Bangladesh for 15 years and locating within the country may reduce transport costs • The labour costs might be lower in Bangladesh compared to other countries where Mondelez operates • Reducing costs may enable Mondelez to reduce prices for its food and beverage products • This could result in Mondelez gaining a competitive advantage over other MNCs in the same market • By locating within Bangladesh, Mondelez could reduce exchange rate fluctuations • Mondelez could also avoid trade restrictions by locating in Bangladesh	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	**3–4**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 3 of 10 · Question 3 part a · 1 mark

2020 NOV · Paper 02 (regional R) · extract 3 of 5 · find part a in this mark scheme extract

Question Number	**Indicative content**	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • A current account deficit occurs when the value of imports are greater than its exports • This could result in a leakage from the Indonesian economy as demand for imported goods replaced demand for domestically produced goods • This could result in an increase in unemployment and a fall in GDP in the long term • A current account deficit could indicate that there is less demand for exports which again could result in an increase in unemployment in Indonesia • There could be problems finding foreign reserves to fund the deficit as spending on imports is not being fully financed from export revenue **AO4** • However, this could result in higher standards of living as people have access to a wider range of good quality (cheaper) imports • The deficit could result in a fall in prices therefore reducing inflationary pressures in Indonesia • Over time there could be a fall in the exchange rate which could improve competitiveness for Indonesia's exports • Depends on the size and duration of the deficit as to the overall impact on the Indonesian economy	**(9)**

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 3 of 10 · Question 3 part a · 1 mark

2020 NOV · Paper 02 (regional R) · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–3**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	**4–6**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	**7–9**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 3 of 10 · Question 3 part a · 1 mark

2020 NOV · Paper 02 (regional R) · extract 5 of 5 · find part a in this mark scheme extract

Question Number	Answer	Mark

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 4 of 10 · Question 2 part c · 1 mark

2022 JUN · Paper 02 (regional R) · extract 1 of 6 · find part c in this mark scheme extract

2(a)	**AO1 1 marks** The only correct answer is: **B** Trade-off A is not correct because this is a result of inflation C is not correct because this the loss of the next best alternative D is not correct because this is the name for a group of countries with a preferential trading agreement	**(1)**

Question Number	**Answer**	Mark
2(b)	**AO1 1 mark** The only correct answer is: **C** Asset purchasing A is not correct because the central bank does not lend to firms B is not correct because this is the role of government D is not correct because is the role of the high street banks	**(1)**

Question Number	State one type of inflation. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** type. • Demand-pull • Cost-push	**(1)**

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 4 of 10 · Question 2 part c · 1 mark

2022 JUN · Paper 02 (regional R) · extract 2 of 6 · find part c in this mark scheme extract

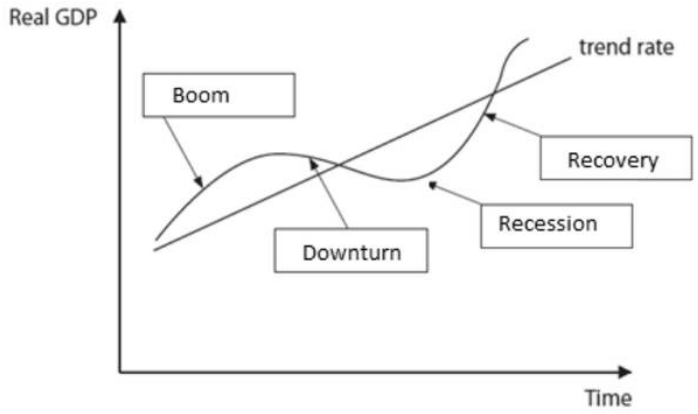
Question Number	What is meant by the term fiscal surplus? **Answer**	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to government revenue and 1 mark for reference to being greater than expenditure When government revenue **(1)** is greater than government expenditure **(1)** **OR** When government expenditure **(1)** is less than government revenue **(1)** Accept any other appropriate response.	**(2)**

Question Number	Explain one disadvantage of deregulation for a country such as Indonesia. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant disadvantage Award 1 mark for developing the disadvantage Award 1 mark for the response being in context • One disadvantage is damage to the environment **(1).** Mining often has a negative impact on the environment **(1)** and this may increase as mines no longer have to follow government controls **(1)** Accept any other appropriate response.	**(3)**

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 4 of 10 · Question 2 part c · 1 mark

2022 JUN · Paper 02 (regional R) · extract 3 of 6 · find part c in this mark scheme extract

Question Number	Using the diagram below label the remaining three stages of the economic cycle in the boxes on the diagram. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for boom, labelled correctly Award 1 mark for recession, labelled correctly Award 1 mark for recovery, labelled correctly  	**(3)**

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 4 of 10 · Question 2 part c · 1 mark

2022 JUN · Paper 02 (regional R) · extract 4 of 6 · find part c in this mark scheme extract

Question Number	Assess the effectiveness of infrastructure spending to reduce unemployment in a country such as Canada. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Infrastructure spending is an example of a supply-side policy • The local government in Alberta is investing in a wide range of projects including repairing roads, bridges and upgrading technology in schools and universities • In the short term, building or upgrading the transport network can boost (aggregate) demand through increased construction activity and employment • Canadian construction, road and technology firms may require additional employees to complete the projects • In the long term, infrastructure investment can reduce unemployment by increasing the potential supply capacity of an economy • The latest unemployment figures increased to 8.7% in March so investing in infrastructure projects could help to boost output without the danger of inflation **AO4** • However, it can be argued that spending $1.9bn may not reduce unemployment in the long term • There is an opportunity cost of these investments with no guarantee that unemployment will decrease in the long term • By nature, supply-side policies tend to take a very long time to work and infrastructure investments can be highly complex to manage • The overall impact on output will depend upon whether the projects can add to (aggregate) demand and (aggregate) supply • The local government in Alberta should use a range of supply-side and fiscal policies to reduce unemployment	**(9)**

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 4 of 10 · Question 2 part c · 1 mark

2022 JUN · Paper 02 (regional R) · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 4 of 10 · Question 2 part c · 1 mark

2022 JUN · Paper 02 (regional R) · extract 6 of 6 · find part c in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 5 of 10 · Question 3 part b · 1 mark

2022 JUN · Paper 02 · extract 1 of 6 · find part b in this mark scheme extract

3(a)	**AO1 1 mark** The only correct answer is: **D** More firms allowed to enter a market A is not correct because this would mean more regulations to implement it B is not correct because this increases the amount of regulation C is not correct because regulations would be needed to oversee the issuing of licences	**(1)**

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 5 of 10 · Question 3 part b · 1 mark

2022 JUN · Paper 02 · extract 2 of 6 · find part b in this mark scheme extract

Question Number	**Answer**	Mark
3(b)	**AO1 1 mark** The only correct answer is: **C** An increase in wage rates A is not correct because this would lower costs B is not correct because this is likely to increase supply of raw materials and therefore reduce cost-push inflation D is not correct because this likely to cause demand-pull inflation rather than cost-push inflation	**(1)**

Question Number	Explain one reason why the UK Government gives subsidies to firms in the renewable energy market. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is to protect the environment **(1).** Subsidies encourage firms to provide energy from renewable sources such as solar energy **(1)** which reduces the pollution from fossil fuels **(1)** • One reason is to lower the cost of renewable energy **(1).** Subsidies allow renewable energy firms to lower prices **(1)** encouraging consumers to switch to cleaner energy sources **(1)** Accept any other appropriate response.	**(3)**

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 5 of 10 · Question 3 part b · 1 mark

2022 JUN · Paper 02 · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Analyse the benefits of having a fiscal surplus for a country such as Nauru. **Indicative content**	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • A fiscal surplus is when government tax receipts are greater than government spending • In this case, Nauru had a surplus of 16.1% of GDP in 2019 • The Government of Nauru could use the fiscal surplus in several ways • It could use the surplus to reduce taxes for the 10,824 population of the island • Alternatively, it could fund new education and training programmes or improve existing public services such as healthcare • If the Government of Nauru has any government debts, it has extra funds to repay them • This reduces the interest payable on any debt and helps the economy in the future	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 5 of 10 · Question 3 part b · 1 mark

2022 JUN · Paper 02 · extract 4 of 6 · find part b in this mark scheme extract

Question Number	Assess the effectiveness of pollution permits in protecting the environment for a country such as the US. **Indicative content**	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Business activity can damage the environment as it has done in the US state of Colorado • Pollution permits are a market-based scheme aimed at reducing pollution and trying to encourage firms to reduce the quantity of pollution they create • Pollution permits involve giving firms such as power stations a legal right to pollute up to a certain amount • If a power station produces less pollution/waste it can sell its pollution permits to other power stations/firms • Permits create a financial incentive to pollute less because power stations can then sell their excess permits to other firms • It can be a good way to reduce pollution, using the incentives of the market **AO4** • However, in practice, pollution permits can be difficult to implement and it is difficult to know how many permits to give out to power stations/firms in Colorado • If the US Government is too generous in the level of pollution the permit allows, there will be little pollution reduction • If the US Government is too strict in the level of pollution the permit allows, power stations/firms may complain it adversely affects output because they cannot comply • There may be an incentive to cheat and hide the amount of pollution a firm creates. This could make the scheme ineffective • There are alternatives to pollution permits which may be more effective such as fining the power stations on the amount of waste produced • A combination of measures may be the most effective way to protect the environment	**(9)**

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 5 of 10 · Question 3 part b · 1 mark

2022 JUN · Paper 02 · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 5 of 10 · Question 3 part b · 1 mark

2022 JUN · Paper 02 · extract 6 of 6 · find part b in this mark scheme extract

Question Number	Calculate, to two decimal places, the percentage of spending on all existing infrastructure projects that was spent on renewable energy on India in 2019. You are advised to show your working. **Answer**	Mark

Number	Answer	
1(a)	**AO1 1 mark** The only correct answer is: **D** reprinting brochures when prices change A is not correct because these are shoe leather costs B is not correct because these are labour costs C is not correct because these are fixed costs	**(1)**

Question Number	Which one of the following is likely to cause demand pull inflation? Answer	Mark
1(b)	**AO1 1 mark** The only correct answer is: **C** An increase in the consumption of goods A is not correct because this is likely to result in cost push inflation B is not correct because this is likely to result in lower inflationary pressures D is not correct because this is likely to result in less consumer spending in the economy	**(1)**

Question Number	What is meant by the term imports? Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to purchase of goods and 1 mark for reference to being from another country The purchase of goods or services **(1)** from another country **(1)** Accept any other appropriate response	**(2)**

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 6 of 10 · Question 1 part b · 1 mark

2023 JUN · Paper 02 (regional R) · extract 2 of 5 · find part b in this mark scheme extract

Question Number	Describe the impact on the demand for a currency after an increase in interest rates. Answer	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference an increase in demand and 1 mark for reference to investing savings/ rise in exchange rate There is likely to be an increase in demand for the currency **(1)** because foreign savers choose to put their savings in the bank with the higher rate of interest **(1)** Accept any other appropriate response	**(2)**

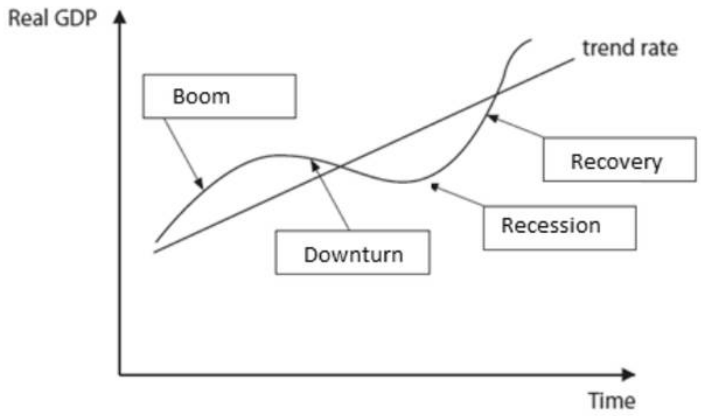
Question Number	Using the data in Figure 1, calculate in CAD$bn, the current account for Canada for the year ending 2020. Answer	Mark
1(e)	**AO2 2 marks** Award 1 mark for showing the calculation CAD$524bn - CAD$561bn **(1)** Award 1 mark for the correct answer = -CAD$37bn **(1)** Award 2 marks if the correct answer of -CAD$37bn is shown even if no calculations are shown Award 1 mark if -37bn is shown, but with no CAD$ sign, with or without calculations shown Do not award marks for formula	**(2)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 6 of 10 · Question 1 part b · 1 mark

2023 JUN · Paper 02 (regional R) · extract 3 of 5 · find part b in this mark scheme extract

Question Number	Label the boxes in the diagram below with the three remaining stages of the economic cycle. Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for downturn, labelled correctly Award 1 mark for recession, labelled correctly Award 1 mark for recovery, labelled correctly  	**(3)**

Question Number	Explain **one** reason why the Scottish Government gives benefit payments. Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is to reduce inequality and poverty **(1).** Benefit payments help to assist with meeting basic needs such as heating a home **(1)**. Therefore, more people will be able to have a better standard of living **(1)** Accept any other appropriate response	**(3)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 6 of 10 · Question 1 part b · 1 mark

2023 JUN · Paper 02 (regional R) · extract 4 of 5 · find part b in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse the limitations of using GDP as a measure of economic growth for a country such as Singapore. Indicative content	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • GDP is the market value of all final goods and services produced in a year • Increases in inflation could distort the true rate of economic growth in Singapore and only real GDP figures reflect the true rate of economic growth in an economy • GDP does not include figures for the hidden or informal economy as they are not included in GDP figures • GDP does not take into account population changes in Singapore • GDP does not take into account external costs such as environmental costs • As a result GDP does not measure how environmental costs might impact on the wellbeing of society • GDP figures such as 7.2% do not reflect how additional income is distributed between the population of Singapore • The growth may not be evenly distributed amongst the population of Singapore who still may remain in relative poverty	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

7

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 6 of 10 · Question 1 part b · 1 mark

2023 JUN · Paper 02 (regional R) · extract 5 of 5 · find part b in this mark scheme extract

Question Number	When a central bank buys government bonds from commercial banks it is known as Answer	Mark

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 7 of 10 · Question 1 part c · 2 marks

2024 NOV · Paper 02 · extract 1 of 6 · find part c in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **C** For basic needs to be met A is not correct because it is not a legal requirement for a government to do this B is not correct because this will increase inequality D is not correct because this will increase poverty	**(1)**

Question Number	Which **one** of the following is a benefit of using gross domestic product (GDP) as a measure of growth? **Answer**	Mark
1(b)	**AO1 1 mark** The only correct answer is: **D** It is easy to compare economic growth between countries A is not correct because it does not measure how economic growth is distributed amongst the population B is not correct because it does not take into account all economic activity C is not correct because it does not take into account inflation	**(1)**

Question Number	What is meant by the term deflation? **Answer**	Mark
1(c)	**AO1 2 marks** Award 2 marks for a correct definition A reduction **(1)** in the general level of prices for goods and services **(1)** Accept any other appropriate response	**(2)**

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 7 of 10 · Question 1 part c · 2 marks

2024 NOV · Paper 02 · extract 2 of 6 · find part c in this mark scheme extract

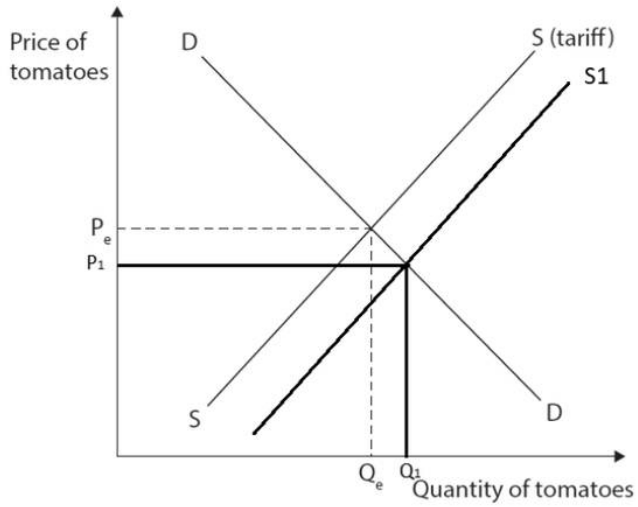
Question Number	Describe the impact of a reduction in the cost of communication on globalisation. **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to the impact and 1 mark for the development of the impact One impact is an increase in globalisation **(1)** because firms can communicate/trade with each other more easily **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate the **invisible trade balance** in $bn for the country. You are advised to show your working. **Answer**	Mark
1(e)	**A02 2 marks** Award 1 mark for export of services – import of services $26bn - $16bn **(1)** Award 1 mark for the correct answer = $10bn **(1)** Award 2 marks if the correct answer is $10bn even if no calculations are shown Award 1 mark if the answer given is 10 even if no calculations are shown Do not award marks for the formula.	**(2)**

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 7 of 10 · Question 1 part c · 2 marks

2024 NOV · Paper 02 · extract 3 of 6 · find part c in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the removal of the tariff on the equilibrium price and quantity of tomatoes in India. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for a rightward shift of the supply curve, labelled Award 1 mark for a lower equilibrium price, labelled Award 1 mark for a higher equilibrium quantity, labelled  **Figure 2**	**(3)**

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 7 of 10 · Question 1 part c · 2 marks

2024 NOV · Paper 02 · extract 4 of 6 · find part c in this mark scheme extract

Question Number	Explain **one** reason why governments use fines. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that it can deter individuals/firms from breaking the law **(1).** Very high fines of $1m will negatively affect the individuals/firms **(1)** this is likely to encourage individuals/firms to make sure they follow the law so people do not get injured **(1)** • One reason is that it can raise revenue for the government **(1).** Fines imposed on firms that break laws can be very high **(1)** and can give the government money to spend on compensating people affected by laws being broken **(1)** Accept any other appropriate response	**(3)**

Question Number	With reference to the data above and your knowledge of economics, analyse how high levels of cost-push inflation affect business confidence in a country such as Türkiye. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Higher energy costs of 157.2% can raise production and transportation costs resulting in an increase in raw material prices and overall costs of production • Higher production costs can lead to lower profits for firms in Türkiye • This is because firms may not be able to pass on the full cost of inflation to consumers in the form of higher prices reducing business confidence • When costs rise faster than firms can adjust their prices, profit margins get squeezed reducing business confidence • Firms may struggle to plan for the future. This is because they are not sure what energy prices will be like in the future causing uncertainty • This uncertainty can erode business confidence as firms are unsure about the future success of their operations	**(6)**

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 7 of 10 · Question 1 part c · 2 marks

2024 NOV · Paper 02 · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 7 of 10 · Question 1 part c · 2 marks

2024 NOV · Paper 02 · extract 6 of 6 · find part c in this mark scheme extract

Question Number	Which **one** of the following is a rise in the value of an exchange rate in a floating exchange rate system? **Answer**	Mark

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 8 of 10 · Question 1 part b · 1 mark

2025 JUN · Paper 02 (regional R) · extract 1 of 6 · find part b in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **B** A construction worker not finding work during the monsoon period A is not correct because this is an example of structural unemployment C is not correct because this is an example of cyclical unemployment D is not correct because this is an example of voluntary unemployment	**(1)**

Question Number	Which **one** of the following is likely to cause cost-push inflation? **Answer**	Mark
1(b)	**AO1 1 mark** The only correct answer is: **C** An increase in the prices of raw materials paid by producers A is not correct because this is more likely to cause demand-pull inflation B is not correct because this affects the supply-side but it is not a direct cause of cost-push inflation D is not correct because this stimulates demand rather than increasing production costs	**(1)**

Question Number	What is meant by the term current account deficit? **Answer**	Mark
1(c)	**AO1 2 marks** Award 2 marks for a correct definition When the value of imports **(1)** exceeds the value of exports **(1)** Accept any other appropriate response	**(2)**

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 8 of 10 · Question 1 part b · 1 mark

2025 JUN · Paper 02 (regional R) · extract 2 of 6 · find part b in this mark scheme extract

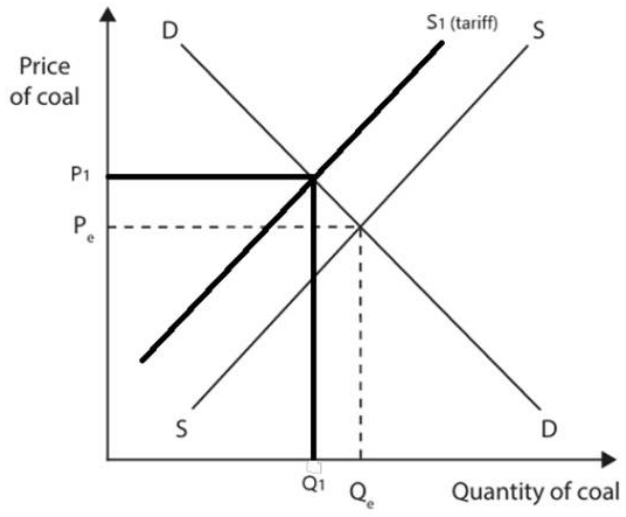
Question Number	Describe **one** benefit to a country of using quotas for imported goods. **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to the benefit and 1 mark for the development of the benefit One benefit is quotas can protect domestic industries **(1)** due to restricting the quantity of certain imports **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate the **price in euros (€)** of a UK-manufactured smartphone priced at £750 when the exchange rate is £1 = €1.18. You are advised to show your working. **Answer**	Mark
1(e)	**A02 2 marks** Award 1 mark for calculation of the price in euros 750 × €1.18 **(1)** Award 1 mark for the correct answer = €885 **(1)** Award 2 marks if the correct answer is €885 even if no calculations are shown Award 1 mark if the answer given is 885 even if no calculations are shown Do not award marks for the formula.	**(2)**

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 8 of 10 · Question 1 part b · 1 mark

2025 JUN · Paper 02 (regional R) · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the introduction of the tariff on the equilibrium price and quantity of coal in China. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for a leftward shift of the supply curve, labelled Award 1 mark for a higher equilibrium price, labelled Award 1 mark for a lower equilibrium quantity, labelled  	**(3)**

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 8 of 10 · Question 1 part b · 1 mark

2025 JUN · Paper 02 (regional R) · extract 4 of 6 · find part b in this mark scheme extract

Question Number	Explain **one** possible benefit of using pollution permits to protect the environment for a country such as the UK. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant benefit Award 1 mark for developing the benefit Award 1 mark for the response being in context • One benefit is that the health of UK citizens will be improved **(1).** Fewer available permits make airlines find ways to adopt cleaner technologies/improve efficiency. **(1)** This will help to reduce air pollution **(1)** • One benefit is that air pollution will decrease **(1).** This is because airlines are limited in how much they can pollute **(1)** so they must reduce their emissions to stay within limits **(1)** Accept any other appropriate response	**(3)**

Question Number	With reference to the data above and your knowledge of economics, analyse the benefits of using GDP as a measure of economic growth for a country such as India. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • GDP helps to understand the size and overall economic health of India • This makes it easier to assess how well the Indian economy is doing and whether it is growing or shrinking • India's GDP growth rate of 7.2% in 2023 allows for easy comparison with other major economies, showing its position and progress on a global scale • The GDP growth figures, of 7.2% in 2023 and forecasted 6.9% in 2024, help the government assess the effectiveness of its economic policies • Rising GDP signals more income/output, helping the Indian government plan for infrastructure, health or education spending • Generally, if India's GDP is increasing, it means people might be earning more and living standards could be improving	**(6)**

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 8 of 10 · Question 1 part b · 1 mark

2025 JUN · Paper 02 (regional R) · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 8 of 10 · Question 1 part b · 1 mark

2025 JUN · Paper 02 (regional R) · extract 6 of 6 · find part b in this mark scheme extract

Question Number	The percentage of income tax paid by an individual in a progressive tax system **Answer**	Mark

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 9 of 10 · Question 1 part a · 1 mark

2025 NOV · Paper 02 · extract 1 of 8 · find part a in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **C** A decrease in the general price level of goods and services over time A is not correct because this describes inflation B is not correct because rapid economic growth is associated with economic expansion, not deflation D is not correct because this describes a recession	**(1)**

Question Number	Which **one** of the following is an example of a supply-side policy? **Answer**	**Mark**
1(b)	**AO1 1 mark** The only correct answer is: **A** Investing in education and training B is not correct because this is an example of monetary policy C is not correct because this is an example of fiscal policy D is not correct because this is an example of a monetary policy	**(1)**

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 9 of 10 · Question 1 part a · 1 mark

2025 NOV · Paper 02 · extract 2 of 8 · find part a in this mark scheme extract

Question Number	What is meant by the term demand-pull inflation? Answer	Mark
1(c)	**AO1 2 marks** Award 2 marks for a correct definition Inflation caused by too much demand in the economy **(1)** relative to supply **(1)** **OR** Inflation caused by too much demand in the economy **(1)** causing a rise in the general price level **(1)** Accept any other appropriate response	**(2)**

Question Number	Describe **one** advantage of privatisation for a consumer. Answer	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to an advantage for a consumer and 1 mark for development of an advantage for a consumer One advantage is better-quality goods/services **(1).** Private companies often work harder to improve what they offer because they want to attract more consumers **(1)** Accept any other appropriate response	**(2)**

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 9 of 10 · Question 1 part a · 1 mark

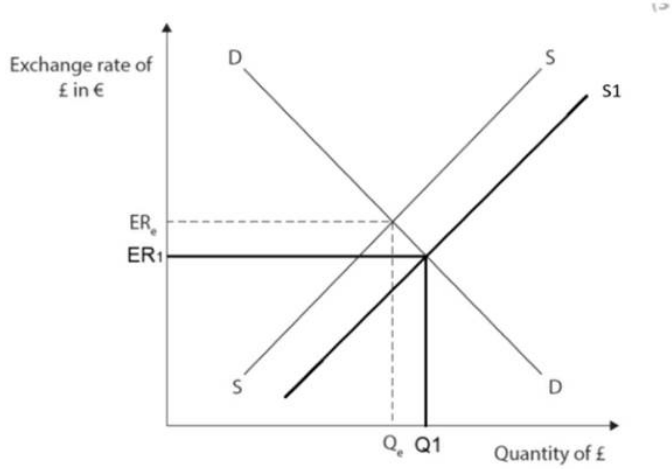
2025 NOV · Paper 02 · extract 3 of 8 · find part a in this mark scheme extract

Question Number	Calculate, to **two** decimal places, the country's **percentage rate of unemployment**. You are advised to show your working. **Answer**	Mark
1(e)	**AO2 2 marks** Award 1 mark for showing the calculation $\frac{550,000}{4,300,000} \times 100$ **(1)** Award 1 mark for the correct answer = 12.79% **(1)** Award 2 marks if the correct answer 12.79% is shown even if no calculations are shown Award 1 mark if the answer given is 12.79 even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 9 of 10 · Question 1 part a · 1 mark

2025 NOV · Paper 02 · extract 4 of 8 · find part a in this mark scheme extract

Question Number	Using the diagram below, draw the likely effect of an increase in imports from Europe on the equilibrium exchange rate of the UK pound (£) against the euro (€). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity. Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for a rightward shift of supply curve, labelled Award 1 mark for lower equilibrium exchange rate, labelled Award 1 mark for higher equilibrium quantity, labelled  	(3)

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 9 of 10 · Question 1 part a · 1 mark

2025 NOV · Paper 02 · extract 5 of 8 · find part a in this mark scheme extract

Question Number	Explain **one** advantage of free trade for a business in a country such as Iceland. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant advantage Award 1 mark for developing the advantage Award 1 mark for the response being in context • One advantage is lower input costs **(1).** Without tariffs or trade barriers, a business can source raw materials/components more cheaply from other countries **(1)** reducing production costs/increasing profitability **(1)** • One advantage is wider markets for a business **(1).** By removing trade barriers, a business can sell their products and services to more consumers **(1)** increasing their sales/potential for growth **(1)** Accept any other appropriate response	**(3)**

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 9 of 10 · Question 1 part a · 1 mark

2025 NOV · Paper 02 · extract 6 of 8 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse the advantages of deregulation for a country such as South Korea. **Indicative content**
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Deregulation encourages an environment where firms can experiment and innovate without being hindered by strict rules • Deregulation can lead to increased economic activity, as industries like AI and biotechnology expand • The creation of a regulation-free zone in South Korea can attract investment from AI and biotechnology firms which can lead to the creation of new jobs and economic expansion • By supporting AI and biotechnology firms, South Korea can diversify its economy and increase employment opportunities across various skill levels • South Korea can benefit from reduced unemployment rates and improved living standards for its citizens • This growth can contribute to a higher GDP, boosting the overall economic performance of South Korea

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 9 of 10 · Question 1 part a · 1 mark

2025 NOV · Paper 02 · extract 7 of 8 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 9 of 10 · Question 1 part a · 1 mark

2025 NOV · Paper 02 · extract 8 of 8 · find part a in this mark scheme extract

Question Number	Which **one** of the following describes a trade bloc? **Answer**	Mark

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 10 of 10 · Question 1 part c · 2 marks

2025 NOV · Paper 02 · extract 1 of 8 · find part c in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **C** A decrease in the general price level of goods and services over time A is not correct because this describes inflation B is not correct because rapid economic growth is associated with economic expansion, not deflation D is not correct because this describes a recession	**(1)**

Question Number	Which **one** of the following is an example of a supply-side policy? **Answer**	Mark
1(b)	**AO1 1 mark** The only correct answer is: **A** Investing in education and training B is not correct because this is an example of monetary policy C is not correct because this is an example of fiscal policy D is not correct because this is an example of a monetary policy	**(1)**

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 10 of 10 · Question 1 part c · 2 marks

2025 NOV · Paper 02 · extract 2 of 8 · find part c in this mark scheme extract

Question Number	What is meant by the term demand-pull inflation? Answer	Mark
1(c)	**AO1 2 marks** Award 2 marks for a correct definition Inflation caused by too much demand in the economy **(1)** relative to supply **(1)** **OR** Inflation caused by too much demand in the economy **(1)** causing a rise in the general price level **(1)** Accept any other appropriate response	**(2)**

Question Number	Describe **one** advantage of privatisation for a consumer. Answer	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to an advantage for a consumer and 1 mark for development of an advantage for a consumer One advantage is better-quality goods/services **(1).** Private companies often work harder to improve what they offer because they want to attract more consumers **(1)** Accept any other appropriate response	**(2)**

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 10 of 10 · Question 1 part c · 2 marks

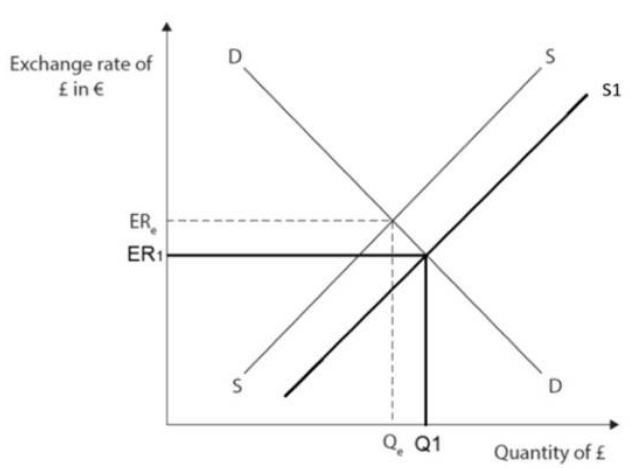
2025 NOV · Paper 02 · extract 3 of 8 · find part c in this mark scheme extract

Question Number	Calculate, to **two** decimal places, the country's **percentage rate of unemployment**. You are advised to show your working. **Answer**	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation $\frac{550,000}{4,300,000} \times 100$ **(1)** Award 1 mark for the correct answer = 12.79% **(1)** Award 2 marks if the correct answer 12.79% is shown even if no calculations are shown Award 1 mark if the answer given is 12.79 even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 10 of 10 · Question 1 part c · 2 marks

2025 NOV · Paper 02 · extract 4 of 8 · find part c in this mark scheme extract

Question Number	Using the diagram below, draw the likely effect of an increase in imports from Europe on the equilibrium exchange rate of the UK pound (£) against the euro (€). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity. Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for a rightward shift of supply curve, labelled Award 1 mark for lower equilibrium exchange rate, labelled Award 1 mark for higher equilibrium quantity, labelled  	(3)

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 10 of 10 · Question 1 part c · 2 marks

2025 NOV · Paper 02 · extract 5 of 8 · find part c in this mark scheme extract

Question Number	Explain **one** advantage of free trade for a business in a country such as Iceland. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant advantage Award 1 mark for developing the advantage Award 1 mark for the response being in context • One advantage is lower input costs **(1).** Without tariffs or trade barriers, a business can source raw materials/components more cheaply from other countries **(1)** reducing production costs/increasing profitability **(1)** • One advantage is wider markets for a business **(1).** By removing trade barriers, a business can sell their products and services to more consumers **(1)** increasing their sales/potential for growth **(1)** Accept any other appropriate response	**(3)**

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 10 of 10 · Question 1 part c · 2 marks

2025 NOV · Paper 02 · extract 6 of 8 · find part c in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse the advantages of deregulation for a country such as South Korea. **Indicative content**
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Deregulation encourages an environment where firms can experiment and innovate without being hindered by strict rules • Deregulation can lead to increased economic activity, as industries like AI and biotechnology expand • The creation of a regulation-free zone in South Korea can attract investment from AI and biotechnology firms which can lead to the creation of new jobs and economic expansion • By supporting AI and biotechnology firms, South Korea can diversify its economy and increase employment opportunities across various skill levels • South Korea can benefit from reduced unemployment rates and improved living standards for its citizens • This growth can contribute to a higher GDP, boosting the overall economic performance of South Korea

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 10 of 10 · Question 1 part c · 2 marks

2025 NOV · Paper 02 · extract 7 of 8 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Inflation and deflation: meaning, measurement and causes

Answer 10 of 10 · Question 1 part c · 2 marks

2025 NOV · Paper 02 · extract 8 of 8 · find part c in this mark scheme extract

Question Number	Which **one** of the following describes a trade bloc? **Answer**	Mark